



Little Treasures *and the Price of a Promise*

A close look at the Royal Mint's digital gold savings scheme, what you actually own when you buy into it, and where it sits on the long road from a banknote to a bar in your own hand.

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This essay is a piece of monetary-history writing, not personal financial advice. Gold is a commodity, not a regulated investment product in this wrapper, and its price can fall as well as rise. Nothing here should be read as a recommendation to buy, hold, or avoid any specific product. Do your own research, and if you need a personal recommendation, speak to a properly authorised financial adviser.

TL;DR

IN BRIEF

Little Treasures is the Royal Mint's online scheme for buying fractional, VAT-free digital gold — called DigiGold — usually to build up a nest egg for a child. You pay in from £25, the Mint buys real bullion on your behalf and stores it in its vault, and you hold legal title to your slice of the bar.

- It is a genuine, VAT-free way to accumulate real allocated gold in small amounts — no coin-collecting minimums, no need to store anything yourself.
- It is **not** FCA-regulated, **not** covered by the Financial Services Compensation Scheme, and comes with three separate charges: on purchase, on annual storage (0.5% + VAT), and on redemption.
- Unlike the Royal Mint's own legal-tender gold coins (Sovereigns, Britannias), gains on DigiGold are **not** exempt from Capital Gains Tax.
- What you hold is a custodial claim on an allocated share of a vaulted bar, not a bar in your hand. It sits closer to the "trust me" end of the monetary spectrum than the "bring me the bar" end — a distinction this essay treats as the whole point.

Introduction and Scope

Every few generations, someone rediscovers that a pile of banknotes loses its purchasing power quietly enough that nobody notices until it's gone, and that gold has a two-thousand-year track record of not doing that. The Royal Mint, an institution that has been striking coin since roughly the ninth century and is now a public corporation wholly owned by His Majesty's Treasury, has built a modern retail product around that rediscovery. It is called Little Treasures, and its pitch is disarmingly simple: open an online account, pay in whatever you can from £25 a month or as a one-off deposit, and the Mint buys physical gold on your behalf and holds it in the vault at its Llantrisant site in South Wales — one of the most secure such facilities in the country — until you decide what to do with it.

This essay is not a Royal Mint advertisement, nor is it a hit piece. It is an attempt to do what this series always tries to do: take a financial product, strip away the marketing language, and work out exactly what mechanism sits underneath it, who bears which risk, and how it compares to the alternatives — cash savings, a Junior ISA, physical bullion you hold yourself, and, since this series never quite manages to avoid the comparison, a bearer asset with no custodian at all.

The scope is deliberately narrow. This is about the mechanics of Little Treasures specifically — its fee structure, its legal and tax treatment, and its place on what earlier essays in this series have called the bearer-asset spectrum — rather than a general case for or against gold as an asset class, which has been covered at length elsewhere in these pages.

03 — THE MECHANICS

What Little Treasures Actually Is

Strip away the branding and Little Treasures is an online precious-metals account wrapped around a product the Mint calls DigiGold. Rather than buying a whole coin or bar, you buy a fraction of one, denominated in money rather than weight, down to the nearest 0.001 of a troy ounce, subject to a minimum order of £25. The money you pay in — by standing order, one-off card payment, or bank transfer — is used to purchase a corresponding slice of large gold bars that the Mint holds in The Vault, its onsite storage facility, which it markets as trusted by central banks and institutional intermediaries.

Crucially, and this is the detail the Mint is keen to stress, you own what you buy. The Royal Mint's own literature is explicit that when you purchase DigiGold you take legal title to it, with the Mint acting purely as custodian rather than counterparty. That is a meaningful distinction from, say, an unallocated gold certificate issued by a bullion bank, where you are simply an unsecured creditor with a claim on the bank's general gold pool. Little Treasures is marketed as allocated: your fraction is yours, ring-fenced from the Mint's own balance sheet, at least in principle.

The product was launched in December 2020, explicitly pitched at parents, grandparents, and other family members who wanted a way to save gold on behalf of a child, to be gifted at eighteen, at twenty-one, on a first house deposit, or whenever the account-holder decides the child is ready. The account itself, however, is opened and legally owned by the adult, not the child, and gifting the proceeds at the end is entirely at that adult's discretion rather than a contractual obligation. There is no dedicated children's trust structure underneath the marketing name; it is, functionally, an ordinary Royal Mint precious-metals account that happens to be pitched with a child's future in mind and has no upper deposit limit, unlike a Junior Cash ISA.

At the point you decide to draw the fund down, there are three routes out: sell the gold back to the Mint for cash, redeem it for physical coins or bars (which involves selling the digital holding and using the proceeds to buy the physical product), or transfer the DigiGold holding to another account — useful if the child, once grown, opens their own digital gold account to receive it directly.

04 — CUSTODY AND COUNTERPARTY

The Vault, the Ledger, and the Question of Title

"Legal title" is a phrase that does a great deal of work in the Little Treasures marketing, and it is worth taking seriously rather than either accepting or dismissing it out of hand. The claim is that DigiGold is allocated gold — a specific, identifiable slice of specific bars, sitting in the Mint's vault, that belongs to you rather than forming part of the Mint's own assets. If that structure holds in practice as well as it does on paper, it puts Little Treasures a meaningful step ahead of the unallocated pooled-gold accounts that some bullion dealers offer, where your "gold" is really just a number on the dealer's books, backed by a general pool rather than a specific bar, and where you rank as an unsecured creditor if the dealer fails.

But allocation solves the counterparty-insolvency problem; it does not turn a custodial account into a bearer instrument. Two things follow from that, and both are stated plainly, if quietly, in the Mint's own small print. First, DigiGold is an unregulated product, and the Royal Mint is not authorised by the Financial Conduct Authority to give investment advice or to offer the product under an FCA licence — nothing on the Little Treasures website constitutes regulated investment advice. Second, and following directly from the first, Little Treasures holdings are not protected by the Financial Services Compensation Scheme, the UK's standard depositor-protection backstop that covers up to £85,000 in a failed bank or building society. If something were to go wrong at an operational or legal level — a dispute over the allocation records, a change in company structure, a slow-motion administrative failure rather than an outright default — there is no statutory compensation scheme standing behind you the way there would be for a cash savings account.

WORTH SITTING WITH

None of this means Little Treasures is unsafe in any conventional sense — the Royal Mint is a six-hundred-year-old sovereign institution, not a fly-by-night bullion shop, and its vault security is not in serious doubt. But "no FCA regulation, no FSCS protection" is a genuinely different risk category from a bank account, and it is worth being honest with yourself about which category you think you are in before you set up a standing order.

There is also a subtler point that this series keeps returning to, because it is the hinge on which the entire history of monetary technology turns: the difference between owning an asset and holding a claim on an asset held by someone else. A bar of gold in your own safe is the asset. A DigiGold balance, however well-allocated, is a claim — recorded on the Mint's ledger, redeemable at the Mint's stated terms, subject to the Mint's continued solvency, co-operation, and correct record-keeping. That is not a criticism unique to the Royal Mint; it is true of every custodial financial product ever built, from a medieval goldsmith's deposit receipt to a modern brokerage account. It simply means that Little Treasures, for all its gold backing, inherits the basic trust assumption of custodial finance rather than escaping it.

05 — THE COST OF CONVENIENCE

The Toll Booths: How the Fees Work

The Mint is candid that there are three separate charges built into the product, and to its credit describes the structure as free of hidden fees rather than pretending there are no fees at all. The three toll booths are:

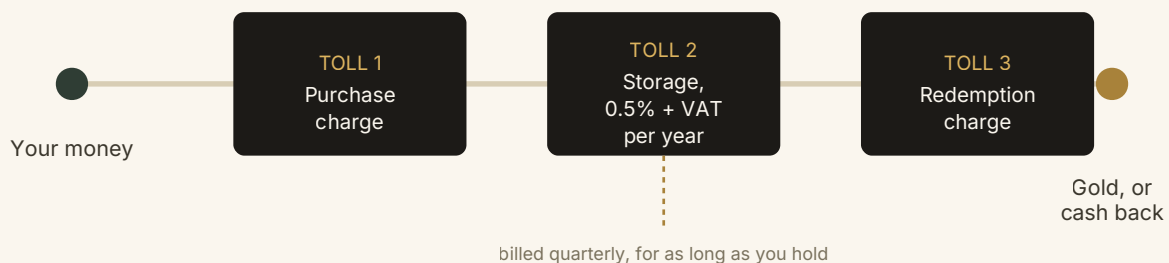


Figure 1. The three charges built into a Little Treasures account: one on the way in, one recurring for as long as the gold sits in the vault, and one on the way out.

The purchase and redemption charges are transactional and one-off per trade — the cost of the Mint sourcing or unwinding an allocation on your behalf. The storage charge is the one that rewards close attention, because it is a recurring annual fee of 0.5% plus VAT, levied against the average daily market value of your total holding, invoiced quarterly and settled automatically from your account balance. Two features of that structure are worth flagging. First, because it is charged on market value rather than on the original amount invested, the fee rises in cash terms as the gold price rises — you pay more in storage fees precisely when the investment has done well, which is a slightly unusual asymmetry compared with

a flat fee. Second, if your account balance is not sufficient to cover a quarterly invoice, the account falls into arrears until it is settled, which is a mechanic worth being aware of if you let a standing order lapse.

None of this makes the product expensive by the standards of managed investment products generally — 0.5% a year is a modest annual management charge as these things go, well below what many actively managed funds levy — but it is not nothing either, and it compounds. A pound saved in storage fees this year is a pound of gold that keeps earning gold-price appreciation every year after. The Mint's own promotional material offers a striking illustration of the flip side of that arithmetic: someone who had put £25 a month into gold between 2002 and 2020 — eighteen years, the classic span from birth to adulthood the product is built around — would, on the Mint's figures, have accumulated gold worth £13,393 by the end, a period over which the price of gold in sterling terms rose from roughly £674 an ounce in 2010 to a 2020 high of about £1,574, an increase of some 133.5%. By mid-2026, spot gold in sterling had climbed further still, trading in the region of £3,200 an ounce, roughly double its 2020 peak — a reminder that the fee structure has been riding a genuinely extraordinary bull market in the metal it is charging you to store.

06 — THE TAXMAN'S VIEW

Tax: VAT-Free In, Capital Gains Out

On the way in, Little Treasures benefits from a genuinely useful piece of UK and EU-derived tax law: investment-grade gold has been exempt from VAT since 2000, under rules that treat gold meeting a minimum purity standard as closer to a monetary instrument than a consumer good. Because DigiGold is backed by LBMA-approved investment-grade metal, every purchase through Little Treasures is VAT-free, in contrast to gold jewellery or gold-plated collectibles, which attract VAT in the ordinary way. This is not a special favour granted to the Royal Mint; it is the standard treatment for investment gold across the UK bullion market, and it is one of the more sensible artefacts of tax policy treating gold as money rather than merchandise.

On the way out, the picture is less favourable, and this is the detail most likely to surprise a buyer who has heard that "gold coins from the Royal Mint are tax-free." That reputation is earned, but it belongs specifically to the Mint's legal-tender bullion coins — the gold Sovereign and the Britannia — which are exempt from UK Capital Gains Tax because, as legal tender in the United Kingdom, they are treated by HMRC as currency rather than as a chargeable asset. DigiGold is not a coin, has no legal-tender status, and does not inherit that exemption. Gains realised on a Little Treasures holding are, on the standard reporting at the time the product launched, subject to Capital Gains Tax in the normal way, net of each individual's annual CGT allowance. For a family accumulating gold over eighteen years specific-

ally to hand to a child at a moment of substantial price appreciation, that is not a minor footnote — it is the difference between a Sovereign coin bought directly and held for the same period, and DigiGold bought through Little Treasures, being taxed completely differently on exit despite both being, physically, the same nine-hundred-and-sixteen-thousandths-fine metal.

THE PRACTICAL TAKEAWAY

If CGT-free growth matters more to you than the convenience of fractional, standing-order accumulation, buying legal-tender gold Sovereigns or Britannias outright — and storing them yourself, or paying separately for storage — sidesteps this issue entirely. Little Treasures trades that tax advantage for convenience, fractional amounts, and Mint-grade custody.

07 — THE BIGGER PICTURE

Where It Sits on the Bearer-Asset Spectrum

This series has spent a great deal of ink on what it calls the bearer-asset spectrum: a rough ordering of financial instruments by how much of the "am I actually owed this, and by whom" risk has been engineered out of them. At one end sits a demand deposit in a commercial bank — a pure IOU, protected only by deposit insurance up to a limit, extinguishable the moment the bank fails beyond that limit. At the other end sits a bearer instrument in the strictest sense: an asset that requires no third party's cooperation, solvency, or record-keeping to be redeemed, because possession *is* the claim. Physical cash in a vault is close to that end. A correctly self-custodied Bitcoin private key is, this series has argued at length elsewhere, about as close to that end as anything humanity has yet built. Physical gold, held in your own possession rather than someone else's vault, sits very near it too — arguably nearer than Bitcoin in one respect, since gold is bearer by chemistry and needs no cryptography at all, and further from it in another, since a kilogram of gold is rather harder to move across a border unnoticed than twelve memorised words.

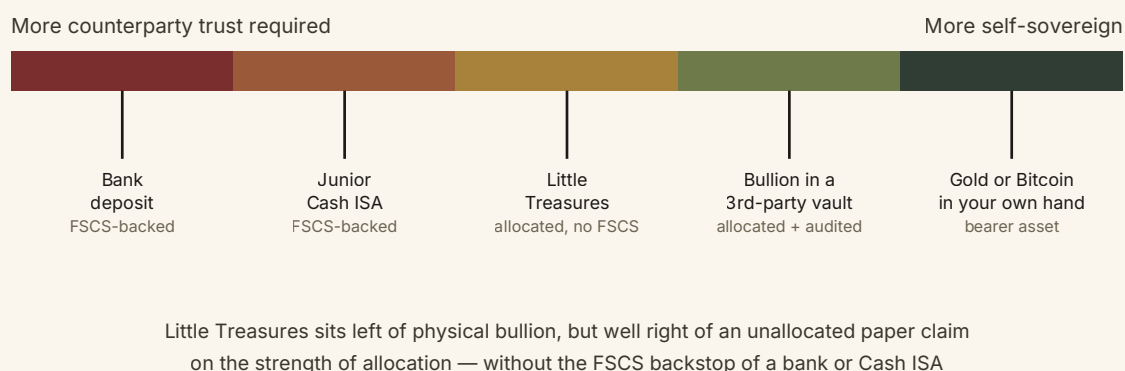


Figure 2. A rough ordering of savings vehicles by how much trust in a third party each one still requires, from a compensation-backed bank deposit to an asset held entirely in your own possession.

Little Treasures does not pretend to sit at the bearer end of that spectrum, and to be fair to the Mint, it never claims to. It sits in a genuinely interesting middle position: meaningfully more robust than an unallocated paper gold claim or a pooled ETF share, thanks to the allocation structure, but meaningfully less robust than a Sovereign coin sitting in your own safe, thanks to the absence of FCA regulation and FSCS protection, and the practical reliance on the Mint's record-keeping to ever convert your digital fraction back into something you can hold. It is, in other words, a well-constructed compromise between the inconvenience of buying and storing physical bullion yourself in small monthly amounts, and the full self-custody that this series generally treats as the gold standard, so to speak, of monetary sovereignty.

Vehicle	Backing	Regulatory cover	Tax on gains	Who holds it
Junior Cash ISA	Fiat interest	FSCS, £85k	Tax-free (ISA wrapper)	Bank
Little Treasures / DigiGold	Allocated vaulted gold	None (unregulated)	CGT applies	Royal Mint, in your name
Physical Sovereign / Britannia	Legal-tender gold coin	None needed	CGT-exempt	You (self-custody)
Self-custodied Bitcoin	Fixed-supply protocol	None (bearer asset)	CGT applies	You (private key)

The Verdict

Judged purely as a piece of financial engineering, Little Treasures is a sensible, well-built product for a specific job: turning small, regular sums of money into real, allocated gold, without the friction of sourcing, verifying, and storing physical coins yourself every month. The VAT exemption is real and valuable. The allocation structure is a genuine improvement over unallocated paper gold. The Mint's institutional standing is about as solid as a UK financial counterparty gets, short of the Bank of England itself.

Judged against the sound-money instincts that run through this whole series, though, it is worth being precise about what you are and are not buying. You are not buying independence from custodial risk — you are buying a well-collateralised, allocated claim on a custodian, which is a considerably better place to be than an unsecured one, but is not the same thing as a bar in a safe you control, and comes without the deposit-protection scheme that a bank account would carry. You are not buying the CGT-free status that makes physical Sovereigns and Britannias so quietly popular among UK savers. And you are paying an annual fee that rises, in cash terms, precisely when your investment thesis is working.

None of that makes Little Treasures a bad product. It makes it a convenience product, and convenience products always trade some sovereignty for some friction removed. For a grandparent who wants to build a modest gold-backed nest egg for a grandchild with £25 a month and zero interest in learning how bullion storage works, that trade is entirely reasonable, and arguably a better default than a Junior Cash ISA quietly losing real value to the inflation this series has spent so many essays documenting. For a reader who has already internalised the argument for sound money and wants the fewest possible intermediaries between themselves and the asset, the honest answer is that Little Treasures is a stepping stone, not a destination — a way to accumulate gold gradually before eventually taking delivery of coin, or looking harder at the bearer asset this series keeps circling back to.

Summary

Little Treasures is the Royal Mint's online scheme for accumulating fractional, VAT-free digital gold — DigiGold — typically to build a fund for a child, from as little as £25 a month or as a one-off deposit. The gold is allocated and stored in the Mint's vault, and the buyer holds legal title to their share, which is a meaningful step up from an unallocated paper gold claim.

- Three charges apply: a purchase charge, an annual storage charge of 0.5% + VAT on market value (billed quarterly), and a redemption charge.
- The product is unregulated by the FCA and carries no Financial Services Compensation Scheme protection, unlike a bank account or Cash ISA.
- Purchases are VAT-free, as with all UK investment-grade gold, but gains are subject to Capital Gains Tax — unlike the Royal Mint's own legal-tender Sovereign and Britannia coins, which are CGT-exempt.
- It sits in the middle of the bearer-asset spectrum: more robust than a pooled or unallocated gold claim, but less self-sovereign than physical bullion held in your own possession, or a self-custodied Bitcoin key.
- As a convenience-first way to accumulate real gold gradually, it is a reasonable, well-constructed product — best understood as a stepping stone toward, rather than a substitute for, full self-custody.

10 — SOURCES

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Fee structures, tax treatment, and regulatory status described in this essay reflect the Royal Mint's published terms as of the sources above and are subject to change; readers should check current terms directly with the Royal Mint before acting on anything here.